

Securities Lending & Borrowing Hub

Securities lending and borrowing (SLB) plays a vitally important role in the smooth functioning of today's global capital markets. The size of the global securities lending industry (securities available for loan) is estimated to be in the region of €39 trillion as at the end of 2024.

Through the ISLA Securities Lending & Borrowing Hub, you'll gain an understanding of what securities lending and borrowing is, who the main participants are across the end-to-end value chain, as well as the main benefits to the wider capital markets ecosystem. The Hub also covers a range of related topics and frequently asked questions, including how risks arising from the activity are managed, as well as deep diving into the regulatory framework in which the market operates. In this section, you will also find useful links to related content and further resources, including guides and a comprehensive glossary of terms.

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1 What is Securities Lending & Borrowing & Who are the Key Market Participants?

Securities lending and borrowing is where an investor temporarily lends securities to a borrower, in return for a fee. It is one of four different securities financing transaction ([SFT](#)) types, along with repurchase transactions (repos), buy-sell back transactions and margin or commodity lending.

Securities that are lent can be in the form of bonds issued by governments or corporates, as well as equities. In addition to the fee, the borrower provides the lender with collateral in the form of cash or other securities. This protects the lender from the risk of potential loss if the borrower becomes insolvent and is unable to return the lender's securities. The value of the collateral provided by the borrower is normally greater than the value of the borrowed securities, providing additional protection for the lender. To further protect both parties from market fluctuations during the life of the transaction, securities and collateral on loan are revalued on a daily basis and adjusted if needed. At the end of the transaction the borrower and lender return their respective securities and collateral to one another.

This activity is often usually conducted by a lending agent, for example a custodial bank, a third-party lender or an in-house lending affiliate acting on behalf of the lender, often referred to as a beneficial owner. This is known as the *supply-side*.

Agents are frequently used by lenders as securities lending tends to be a high volume and short term discretionary activity and does not form part of the main activity of institutional investors. However, some lenders may choose to lend directly (i.e., not appoint an agent) whilst others may choose to utilise multiple providers, lend assets through both a custodian and a third-party agent, or a combination of the above. Borrowers and end users of the lent securities are known as being on the *demand-side*.

Borrowers are typically large financial institutions such as investment banks and broker dealers. These institutions borrow securities to support their own proprietary trading, market making and to facilitate short coverage for their clients such as alternative investment managers and hedge funds, who are referred to as underlying borrowers.

Supply

Investors

Pension Funds

Mutual Funds

Insurance
Companies

Sovereign
Wealth Funds

Central Banks

Retail Investors

Intermediaries

Custodial Banks

Direct Lenders

Third Party Lenders

For a securities lender, it is an opportunity to generate additional low risk revenues from their long-term investments and use their long-term assets to raise liquidity when required (e.g., lending their securities to raise cash or government bonds for example as collateral).



Securities



Collateral
& Fees



Demand

Banks

Hedge Funds

Broker-Dealers

Alternative Investment Funds

Proprietary
Traders

For a securities borrower, securities lending & borrowing provides a mechanism to cover short positions as a result of market making activity, raise eligible assets to meet regulatory ratios or collateral requirements and manage the funding of its balance sheet.

